

Electronic Commerce

Chapter 8: Planning

Electronic commerce initiatives

- Main activities
 - Identify business objectives
 - Link business objectives to business strategies
- Business objectives
 - Increasing existing market's sales
 - Opening new markets
 - Serving existing customers better
 - Identifying new vendors
 - Coordinating more efficiently with existing vendors
 - Recruiting employees more effectively

Electronic commerce initiatives

- Business strategies
 - Downstream strategies: improving the values provide to customers
 - Upstream strategies: working at a higher level to reduce cost or generate value
- Use the web for business strategies
 - Attractive sales channel for many firms
 - Complement business strategies
 - Building brands
 - Selling products and services
 - Selling advertising
 - Purchasing products and services
 - Building virtual communities and Web portals

Electronic commerce initiatives

- Measuring benefits
 - Tangible benefits
 - Easy to measure
 - Example: increased sales
 - Intangible benefits
 - Difficult to measure
 - Example: increased customer satisfaction
 - Set measurable objectives even if for intangible benefits
 - How?
 - Survey, opinion polls, customer service complaints, etc.

Electronic commerce initiatives

Electronic commerce initiatives	Common measurements of benefits provided
Build brands	Surveys or opinion polls that measure brand awareness
Enhance existing marketing programs	Change in per-unit sales volume
Improve customer service	Customer satisfaction surveys, quantity of customer complaints
Reduce cost of after-sale support	Quantity and type (telephone, fax, e-mail) of support activities
Improve supply chain operation	Cost, quality, and on-time delivery of materials or services purchased
Hold auctions	Quantity of auctions, bidders, sellers, items sold, registered participants; dollar volume of items sold
Provide portals, social networks, and virtual communities	Number of visitors, number of return visits per visitor, and duration of average visit

FIGURE 12-1 Measuring the benefits of electronic commerce initiatives

Electronic commerce initiatives

- Managing costs
 - Information technology project costs are difficult to estimate
 - Rapid changes in technologies
- Total cost of ownership (TCO)
 - Hardware
 - Software
 - Design work
 - Outsourcing
 - Salaries and benefits for employees
- Good TCO estimation should includes assumptions about how often site would need to be redesigned in the future

Electronic commerce initiatives

- Opportunity cost
 - Cost of not undertaking an initiative
- Website cost

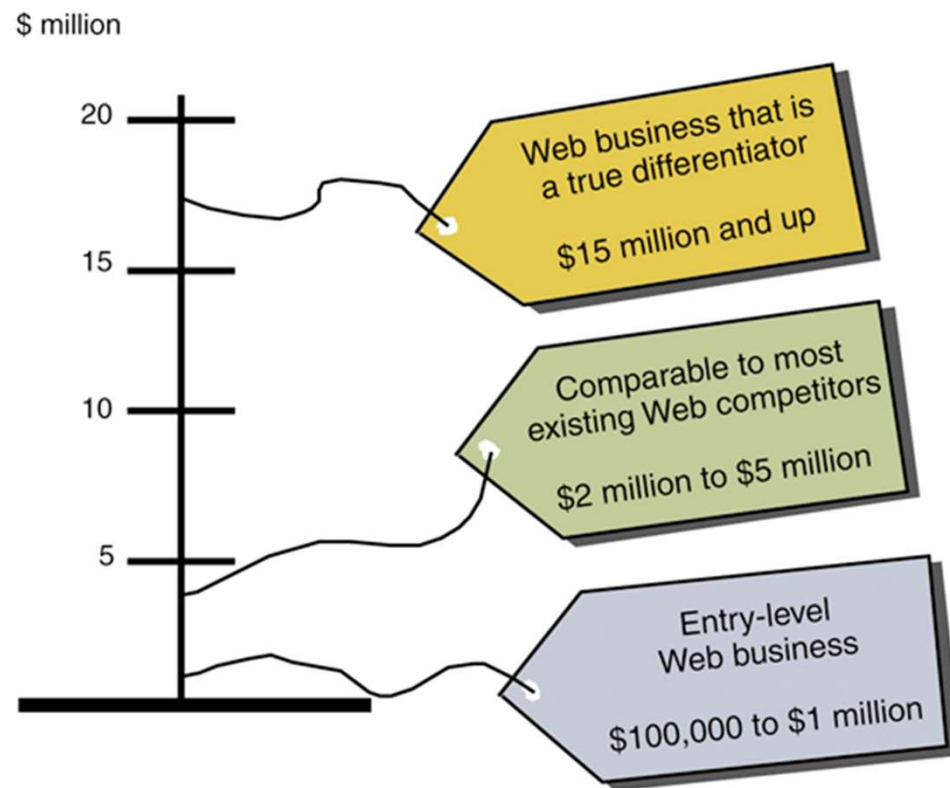


FIGURE 12-2 Starting a Web business: three price tags

Electronic commerce initiatives

- Comparing benefits with cost

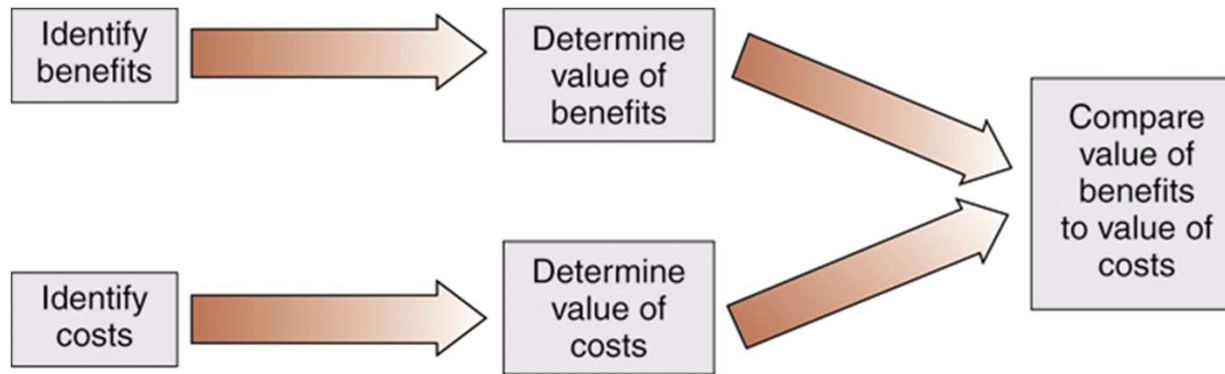


FIGURE 12-4 Cost/benefit evaluation of electronic commerce strategy elements

- ROI (Return on Investment)
 - Measuring amount of income (return) provided by specific current expenditure (investment)
 - ROI built-in biases
 - Short-term benefits easier to foresee
 - Long-term benefits harder to imagine and quantify

Website development

- Evolution

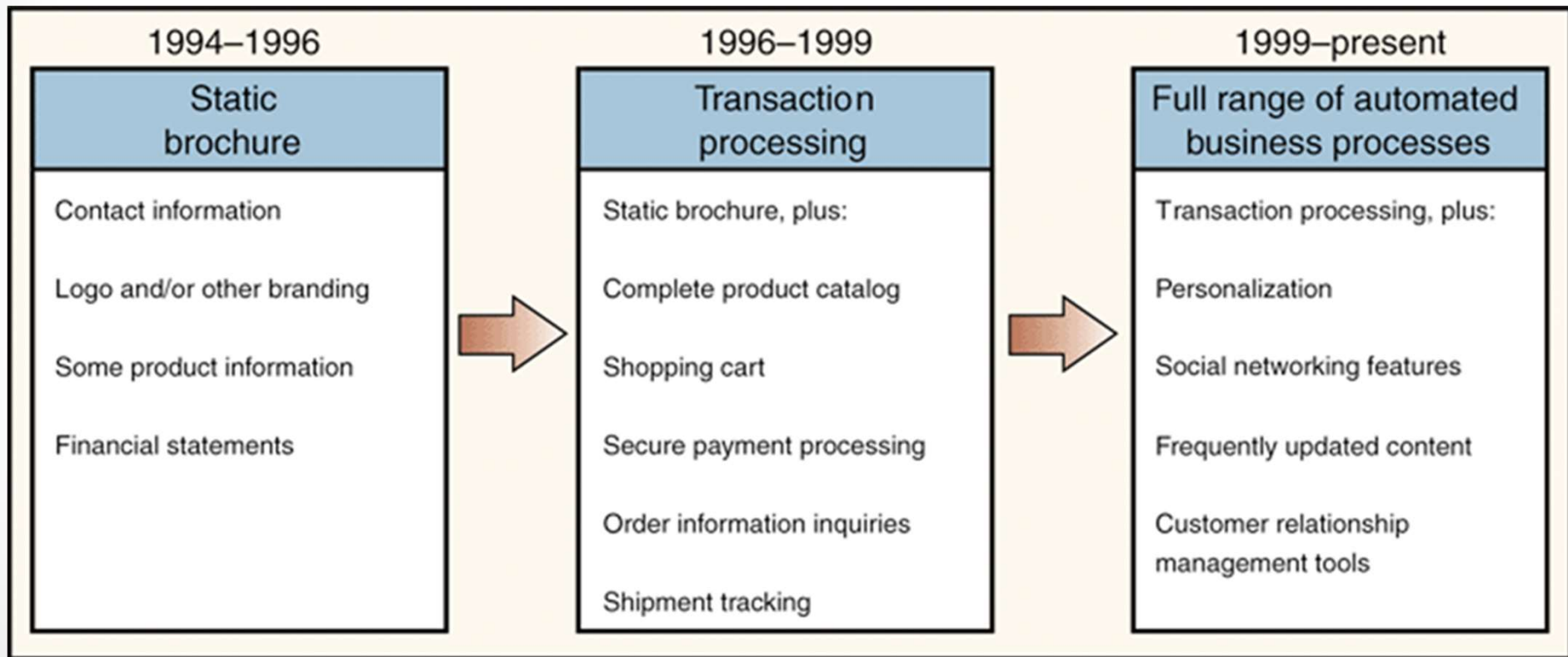


FIGURE 12-5 Increasing complexity of Web site functions

Website development

- Internal vs. outsourcing
 - Internal
 - Company's specific needs are addressed
 - Initiative congruent with organization goals, culture
 - Outsourcing
 - Seldom able to learn enough about organization's culture to accomplish objectives
 - Key to success
 - Finding balance between outside and inside support
 - Outsourcing: hiring another company to provide outside support for all or part of project

Website development

- Internal team
 - People knowledgeable about the Internet and its technologies
 - Creative thinkers
 - Distinguished within the company
- Internal project lead
 - Mistake: technical wizard, not business knowledgeable, not well known
 - Better choice: person with business knowledge, creativity, respect of firm's operating function managers, good sense of goals and culture

Website development

- Early outsourcing
 - Company outsources initial site design and development to launch project quickly
 - Outsourcing team trains company's information systems professionals before handing site operation to them
 - Company's information systems people work closely with outsourcing team to develop ideas for improvements as early as possible in project life

Website development

- Late outsourcing
 - More traditional approach
 - Company's information systems professionals
 - Perform initial design and development work, implement system, and operate system until stable part of business operation
 - Once competitive advantage gained
 - Electronic commerce system maintenance outsourced
 - Company's information systems professionals turn attention and talents to developing new technologies, providing further competitive advantage

Website development

- Partial outsourcing
 - Also called **component outsourcing**
 - Company identifies specific project portions that can be completely designed, developed, implemented, and operated by another firm specializing in a particular function
- Examples
 - Smaller Web sites outsource e-mail handling and response functions
 - Customer support call center
 - Electronic payment system

Website development

- Selecting a hosting provider
 - Internal team responsible for selecting a service provider
 - Should obtain advice of consultants
 - Important factors
 - Functionality
 - Reliability
 - Bandwidth and server scalability
 - Security
 - Backup and disaster recovery
 - Cost
 - Vendor's security policies, practices: very important because business information placed in hands of service provider

Staffing

- Business manager
 - Member of internal team setting project objectives
 - Responsible for implementing business plan elements, reaching objectives set by internal team
- Project manager
 - Person with specific training, skills in tracking costs and accomplishment of specific project objectives
- Account manager
 - Keeps track of multiple Web sites in use or keeps track of projects combining into larger Web site

Staffing

- Applications specialists
 - Maintain accounting, human resources, logistics software
- Web programmers
 - Design and write underlying code for dynamic database-driven Web pages
- Web graphics designer
 - Trained in art, layout, composition
 - Understands how Web pages are constructed

Staffing

- Customer service personnel
 - Design and implement customer relationship management activities in electronic commerce operation
- Call center
 - Company handling incoming customer telephone calls, e-mails for other companies
 - Makes sense for smaller companies
- Systems administrator
 - Responsible for system's reliable, secure operation

Staffing

- Database administrator
 - Support activities
 - Transaction processing, order entry, inquiry management, shipment logistics
 - Activities require:
 - An existing database into which site being integrated
 - Separate database established for electronic commerce initiative

End of chapter 10